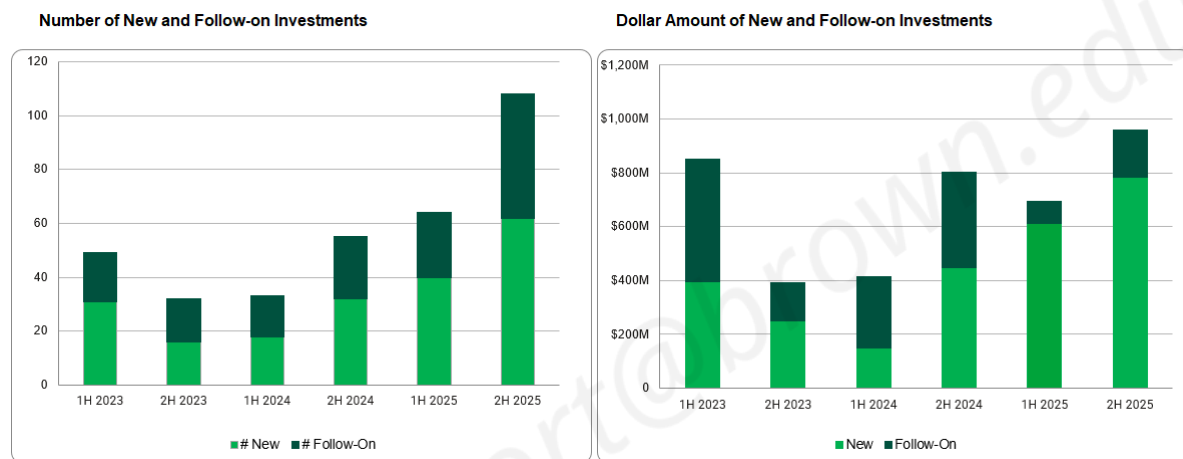




DECEMBER 2025

During the second half of 2025, we made a total of 62 new investments and 46 follow-on investments from our seed, venture, growth and expansion funds across the technology, healthcare, and consumer sectors. Our seed and venture funds made a total of 51 new investments and 33 follow-on investments while our growth and expansion funds made a total of 11 new investments and 13 follow-on investments. Our total new investments amounted to \$783M and total follow-on investments amounted to \$177M. Four of our portfolio companies completed IPOs on the Hong Kong and US stock exchanges. We distributed \$2.69B to main and side-fund LPs in the second half of 2025, bringing the total distribution amount to \$4.3B for the full year of 2025.



For the full year of 2025, our total new investments amounted to \$1,396M and total follow-on investments amounted to \$261M. The technology sector represented 80% of the total number of investments, while the consumer and healthcare sectors represented 8% and 12%, respectively.

As illustrated by the charts above, our new investment pace accelerated for seed and venture investments during the second half of 2025 as our conviction deepened around AI and robotics. These are foundational shifts, and we believe they are still early. As these technologies begin to reshape industries, a new generation of founders is emerging to build into that change. Many are experienced industry veterans who understand the disruption and are keen to capture the opportunities. This has created a particularly attractive environment for a leading early-stage investor like HSG, and we are focusing on working with Chinese entrepreneurs around the world to pursue such opportunities.

As investment activity across the industry accelerates, valuations have begun to trend upward, especially in more crowded subsectors. Against this backdrop, we remain focused on our core strategy: identifying and exploring key emerging trends for our seed and venture investments ahead of the competition, while maintaining valuation discipline and underwriting with high conviction in select later-stage opportunities.



At the same time, recent successful listings, including our portfolio companies MiniMax and Busy Ming, both of which completed IPOs in January 2026, have provided continued encouraging validation of market receptivity and the quality of innovation emerging from our ecosystem. As you may recall, exits have been one of the key challenges for the broader VC/PE industry over the past two to three years globally. While we remain measured in our expectations, we are cautiously optimistic that 2026 could be a clearer turning point. A good number of our portfolio companies have already filed IPO applications across the technology, healthcare and consumer sectors and many more are preparing to do so this year.

In 2025, HSG continued to strengthen our international franchise with greater depth and conviction. We expanded our presence in Singapore and Southeast Asia, Japan, and Europe, while continuing our efforts in supporting Chinese entrepreneurs operating globally. In Europe, we completed a few high-quality growth capital investments in the technology sector, partnering with companies that demonstrate strong fundamentals and scalable platforms with business models that we are very familiar with through many years of investment experience in China. Our buyout strategy has focused on market leaders with clear China angles—businesses where market connectivity or supply chain capabilities create differentiated value creation pathways. Completing investments in competitive overseas markets is not easy; however, the more challenging work lies ahead post investment. Deployment is only the beginning, especially for buyout investments where the portfolio companies rely heavily on HSG efforts to grow to the next stage. Our focus now is to translate our international business into sustained performance and strong realized returns.

2025 will also be remembered as the first year GenAI became embedded in HSG's daily workflows. Across industries and within HSG, GenAI has enhanced research, investment screening, analysis, documentation, knowledge management, and operational processes, and is applicable to all our functions and business lines. We are not just investing in AI—we are committed to becoming a leader in investing with AI. Company presentations at HSG are now conducted through HSG Intelligence online. AI-generated analytical prompts often begin before our investment committee meetings. We are experimenting and exploring how AI can augment our workflows and we believe if we embrace continuous learning and thoughtful adoption, HSG will be significantly more productive with better judgments than ever before and stay ahead of our industry peers.

AI will create a new generation of technology leaders. It will strengthen certain existing platforms and enable consolidation through scale and data advantages. But it will also be a tsunami for others. The ones vulnerable could be business models built primarily on the digital intermediation of information (e.g., aggregation, search, traffic arbitrage, and digital content). In fact, some of our more favored business models over the past decade may prove to be among the most challenged in the AI era. This assessment requires intellectual honesty, knowledge about AI technology, a forward-looking mindset, and even a completely new lens. We ask the following question in every portfolio review and every new investment discussion: Is this business facing an AI tailwind or an AI headwind?



We are greatly encouraged by the opportunities ahead and confident in our current positioning. With your continued trust and support, the HSG team remains focused on backing exceptional founders, advancing technological innovation, and building enduring value alongside our portfolio company management teams—all in service of delivering strong outcomes for our Partnerships.

Best regards,

Team HSG

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